

FIRST INFORMATION REPORT

(Under Section 173 BNSS)

1. **District:** Delhi **PS:** AC-II Delhi
Year: 2024
FIR No: RC2172024A0016 **Date:** 15/10/2024

2. **Acts & Sections:**

Acts	Sections	R/W Section
IPC	120 B	420
PC Act-1988 (As amended in 2018)	7	
PC Act-1988 (As amended in 2018)	8	
PC Act-1988 (As amended in 2018)	9	
PC Act-1988 (As amended in 2018)	10	

3. **Suspected offences:** Criminal Conspiracy, Cheating, Obtaining undue advantage to induce a public servant

(a) **Occurrence of offence:**

Day: **Time Period:**
From Date: 2018 **To Date:** 2023

(b) **Information Received at PS:** CBI/AC-II/New Delhi

Date: 14/10/2024

(c) **General Diary Reference:**

Entry No.: 03
Date: 15/10/2024 **Time:** 15:02:36

4. **Type of Information:** Written

5. **Place of Occurrence:** Pune, Delhi & Singapore

(a) **Direction & distance from PS:**

Beat No.:

(b) **Address:**

Plot No.: **Area:**
City: **Pin:**
State: **District:**

(c) **In case, outside the limit of this Police Station, then**

Name of PS: **District:**

6. **Complainant / Informant:**

Complainant 1

(a) **Name:** Mr. Sidharth Gilhotra

(b) **Father's/Husband's Name:**

(c) **Date/Year of Birth:**

(d) **Nationality:** INDIAN

(e) **Passport:**

Passport No.	Date Of Issue	Place Of Issue
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(f) **Occupation:** Sub-Inspector of Police, CBI, AC-II, New Delhi

(g) **Address:**

Plot No	Area	City	State	District	Pin
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7. **Details of known/suspected/unknown accused with full particulars:**

Accused 1

Name: Mr.Thimmasarthy Rao(1), **Designation:** the then Managing Director MTPL, **Department:** Minerals & Metals Trading Corporation Ltd., **Ministry:** Min. of Commerce & Industry

Address:

Accused 2

Name: Mr.Devasish Nayak(2), **Designation:** the then Director (Finance) MTPL, **Department:** Minerals & Metals Trading Corporation Ltd., **Ministry:** Min. of Commerce & Industry

Address:

Accused 3

Name: Mr.Santosh Gowda(3)

Address:

Accused 4

Name: M/s Arcis Global Pte Ltd, Singapore through its authorized representative(4)

Address:

Accused 5

Name: M/s Aetos Agro Merchants Pvt Ltd Pune through its authorized representative(5)

Address:

Accused 6

Name: Unknown Public Servant(s) & Private Person(s)

Address:

8. Reasons for delay in reporting by the complainant/informant:

No delay

9. Particulars of properties stolen:

Item Name	Age of Property	Estimated Value (in INR)
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10. Total value of property stolen:**11. Inquest Report/U.D. Case No., if any:****12. First Information contents:**

A complaint has been received from Shri Sidharth Gilhotra, Sub-Inspector of Police, CBI, AC-II, New Delhi over email on 14.10.2024. The scanned copy of complaint is attached herewith.

The complaint prima facie disclosed the commission of offence punishable under section 120-B of IPC r/w 420 of IPC and section 7, 8, 9 & 10 of PC Act, 1988 (as amended in 2018) against (1) Thimmasarthy Rao, the then Managing Director, M/s. MTPL (2) Devasish Nayak, the then Director (Finance), MTPL. (3) Santosh Gowda, Director, M/s Arcis Global Pte Ltd, Singapore & M/s Aetos Agro Merchants Pvt Ltd, Pune (4) M/s Arcis Global Pte Ltd, Singapore through its authorized representative and (5) M/s Aetos Agro Merchants Pvt Ltd, Pune through its authorized representative (6) any other public servant/s or any other private person/s. Hence, a regular case is registered and entrusted to Shri Sammingi Bala Surya Amamath, Inspector of Police, CBI, AC-II, New Delhi for investigation.

13. Action taken : Since the above information reveals commission of offence(s) u/s as mentioned at Item No.2:

(1) Registered the case and took up the investigation: Yes

OR

(2) Directed

Name of IO:

Sammingi Bala Surya Amamath

Rank:

INSPECTOR (AC-II Delhi)

No:

146536

to take the investigation

OR

(3) Refused investigation due to:

OR

(4) Transferred To PS:

District:

on point of jurisdiction.

Attached documents:

Document name

Complaint

FIR read over to the complainant/informant, admitted to be correctly recorded and a copy given to the complainant / Informant, free of cost.

R.O.A.C.

14. **Signature/Thumb Impression of the complainant/informant**

Signature of Officer in-charge Police Station

Name: Praveen Kumar

Rank: SUPDT. OF POLICE (AC-II Delhi)

15. **Date and time of dispatch to the Court:**

Digitally signed by PRAVEEN KUMAR
Date: 2024.10.15 15:12:52 IST
Reason:
Location:

Email

Praveen Kumar IPS

Complaint in PE2172024A0004 CBI AC-II New Delhi

From : Sidharth Gilhotra <sidharth.g@cbi.gov.in>
Subject : Complaint in PE2172024A0004 CBI AC-II New Delhi
To : Praveen Kumar IPS <spacu4del@cbi.gov.in>

Mon, Oct 14, 2024 06:41 PM

1 attachment

Sir,

Please find attached complaint on the basis of enquiry in PE 04.2024 CBI AC-II New Delhi.

Regards,
Sidharth Gilhotra
Sub-Inspector of Police
CBI AC-II, New Delhi



Complaint in PE2172024A0004 CBI AC2.pdf
62 KB

PA.
for upi.
14/10/24

To,

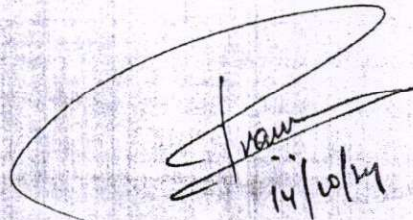
Dated: 14.10.2024

The Superintendent of Police
CBI, AC-II, New Delhi

Sub: Complaint for registration of a Regular Case against (1) Thimmasarthy Rao, the then Managing Director, M/s. MTPL (2) Devasish Nayak, the then Director (Finance), MTPL. (3) Santosh Gowda, Director, M/s Arcis Global Pte Ltd, Singapore & M/s Aetos Agro Merchants Pvt Ltd, Pune (4) M/s Arcis Global Pte Ltd, Singapore through its authorized representative and (5) M/s Aetos Agro Merchants Pvt Ltd, Pune through its authorized representative (6) any other public servant/s or any other private person/s. - reg.

Sir,

A complaint dated 04.10.2023 was received from Sh. Abhay Kumar, General Manager (Marketing), M/s. MMTC Ltd., Core-1, Scope Complex, Lodhi Road, New Delhi against (1) Thimmasarthy Srinivasa Rao, MD, MTPL Singapore & General Manager, MMTC Ltd India, (2) Shri Devasish Nayak, Deputy General Manager MMTC Ltd. (3) Santosh Kumar Gowda, CEO, M/s ARCIS Singapore, Director (M/s ARCIS Singapore and M/s Aetos Pune), (4) Smt. Narayanan Vaidyanathan Director (M/s Aetos Pune) (5) M/s Aetos Agro Merchants Pvt. Ltd., Pune, (6) M/s Arcis Global Merchants Pte. Ltd. Singapore (ARCIS), (7) Unknown public servants and Other unknown private persons with the allegation that MMTC Transnational Pte Ltd. (MTPL) is private company limited by shares which is incorporated in Singapore. MTPL is a 100% wholly owned subsidiary of MMTC, set up in Singapore to deal in international trading of various commodities which was incorporated in Singapore in 1994 with an equity investment of USD One Million. MMTC Limited received a communication, from UCO Bank in Singapore addressed to MD, MTPL with a copy marked to MMTC Ltd. informing that MTPL was unable to settle its import liabilities amounting to USD 7.60 million with the



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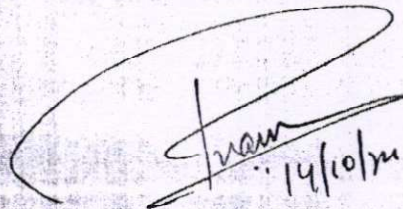
Bank. Bank of India also sent a letter to MTPL asking for repayment of USD 3.428 million. Thus, MMTC's Management formed a four-member Fact-Finding Committee. Fact Finding Committee submitted a report highlighting the following issues.

- I. Extension of Credit to M/s ARCIS GLOBAL MERCHANTS PTE. LTD. (ARCIS) & M/s AETOS AGRO MERCHANTS PVT. LTD. (AETOS) without obtaining adequate legally acceptable security.
- II. Suppression of facts from board of MTPL.
- III. Violation of delegation of powers.
- IV. Trust Receipts/Invoice Financing availed by MTPL were not settled on one-to one basis.
- V. Breach of MoU terms by MTPL by MD, MTPL & Director (Fin.) MTPL
- VI. Legal Enforceability of MoU terms questionable
- VII. Financing of Related Party Invoices
- VIII. Continuing trade facilitation despite huge debit balance in party ledgers of ARCIS
- IX. Accommodative Financial transactions
- X. Under invoicing by a big margin resulting in loss
- XI. Due diligence for financial risk management not done
- XII. Administrative Lapses on part of the Holding Company

The complaint was taken up for enquiry by registering a PE on 03.04.2024.

Based on the above said findings, the aforesaid complaint was lodged and the instant PE2172024A0004 was registered in CBI that the complaint prima facie disclosing irregularities/misconduct on the part of the aforesaid suspects.

1. Enquiry revealed that the operations MTPL Singapore were managed by two Resident/executive Directors namely (1) Thimmasarthy Srinivasa Rao, General Manager holding a post on deputation as Managing Director on MTPL



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Board and (2) Devasish Nayak, Deputy General Manager (Finance) holding a tenure based deputation post as Director (Finance) on MTPL Board.

2. It was further discovered that MD, MTPL and Director (Fin.) derive powers from "Delegation of Powers MTPL" passed by board of MTPL.

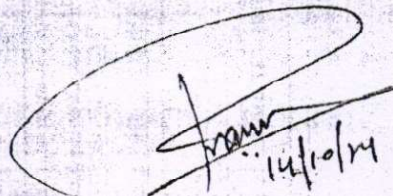
3. Enquiry revealed that on the request of Thimmasarthy Srinivasa Rao and Devasish Nayak, banks at Singapore increased the banking limit of MTPL. The same are as under:-

- (i) UCO Bank increased banking limits up to USD 10 million.
- (ii) Indian Overseas Bank increased banking limits up to USD 6 million.
- (iii) Bank of India increased banking limits up to USD 5 million.

4. Enquiry revealed that Santosh Gowda was the CEO of M/s ARCIS GLOBAL MERCHANTS PTE. LTD. (M/s ARCIS). He visited the office of MTPL Singapore and met with T S Rao and Devasish Nayak. The object of this meeting was to trade in edible oils including palm oil, Soya bean oil, sun flower oil using the LC bank limits of MTPL. Therefore, he proposed a MoU on back-to-back basis. A MOU was signed between MTPL and M/s Arcis year-on-year basis.

5. Also, the contract signed was silent on margin of M/s ARCIS in the trade. MOU suggests that MTPL's margin being fixed, profit or loss in the transaction is reward or risk of M/s ARCIS. The contract is also silent on the mechanism for payment to M/s ARCIS. In all the transactions facilitated by M/s. ARCIS under the MOU, the profit or loss of M/s. ARCIS has been transferred through debit/credit note, wherein no invoice was issued by M/s. ARCIS.

6. Enquiry revealed that suspect T. S. Rao, the then MD MTPL and Devasish Nayak, the then Director (Finance) in criminal conspiracy with Sh. Santosh Gowda, Dir (ARCIS, Aetos) and by abusing their official position in capacity of public servant, favoured Santosh Gowda, Director, M/s Arcis Global Pte Ltd, Singapore & M/s Aetos Agro Merchants Pvt Ltd to trade with MTPL without



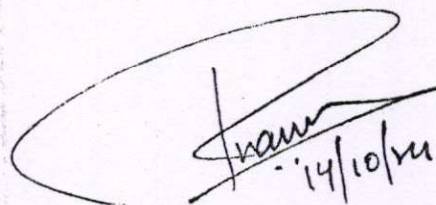
14/10/14

taking any legally secured credit like Bank Guarantee or Letter of Credit in violation of terms of Delegation of Powers MTPL. T. S. Rao and Devasish Nayak allowed Santosh Gowda, Director, M/s Arcis Global Pte Ltd, Singapore & M/s Aetos Agro Merchants Pvt Ltd to use the limits given by the aforesaid banks in favour of MTPL without any public interest and without taking any legally secured credit like Bank Guarantee or Letter of Credit. Enquiry further revealed that in order to facilitate the use of banking limits given by the banks to MTPL, suspect T. S. Rao received 29000 Singapore Dollars in his bank account maintained by him at OCBC Bank, Singapore from the account of Santosh Gowda. M/s Arcis and M/s Aetos was not able to pay its dues which further resulted in default in bank limits of MTPL amounting to USD 15 million.

7. During the course of enquiry, it was also discovered that MTPL had taken 10 cheques of Standard Chartered Bank, Singapore; signed and issued by suspect Santosh Kumar Gowda in the capacity of Director on behalf of M/s Arcis Global Merchants Pte Ltd, Singapore as security against the material or in case of default, however, when these cheques were presented by MTPL to UCO Bank, Singapore; the same were dishonoured stating the reason of return- "refer to drawer".

Considering the facts, circumstances and evidence available during PE, it recommended a regular case may be registered against:

- 1) Thimmasarthy Rao, the then Managing Director, M/s. MTPL,
- 2) Devasish Nayak, the then Director (Finance), MTPL.
- 3) Santosh Gowda, Director, M/s Arcis Global Pte Ltd, Singapore & M/s Aetos Agro Merchants Pvt Ltd, Pune.
- 4) M/s Arcis Global Pte Ltd, Singapore through its authorized representative and
- 5) M/s Aetos Agro Merchants Pvt Ltd, Pune through its authorized representative
- (6) any other public servant/s or any other private person/s.



A handwritten signature, possibly reading 'Rao', is written over the date '14/10/14'.

for the commission of cognizable offences u/s 120B IPC r/w 420 of IPC and sec. 7, 8, 9 and 10 of The Prevention of Corruption (as Amendment in 2018). Thus, a regular case may be registered against above mentioned u/s 120-B IPC r/w 420 of IPC and sec. 7, 8, 9 and 10 of The Prevention of Corruption (as Amended in 2018).

Sidharth Gilhotra
Sub-Inspector of Police
CBI AC-II, New Delhi



14/10/2019